

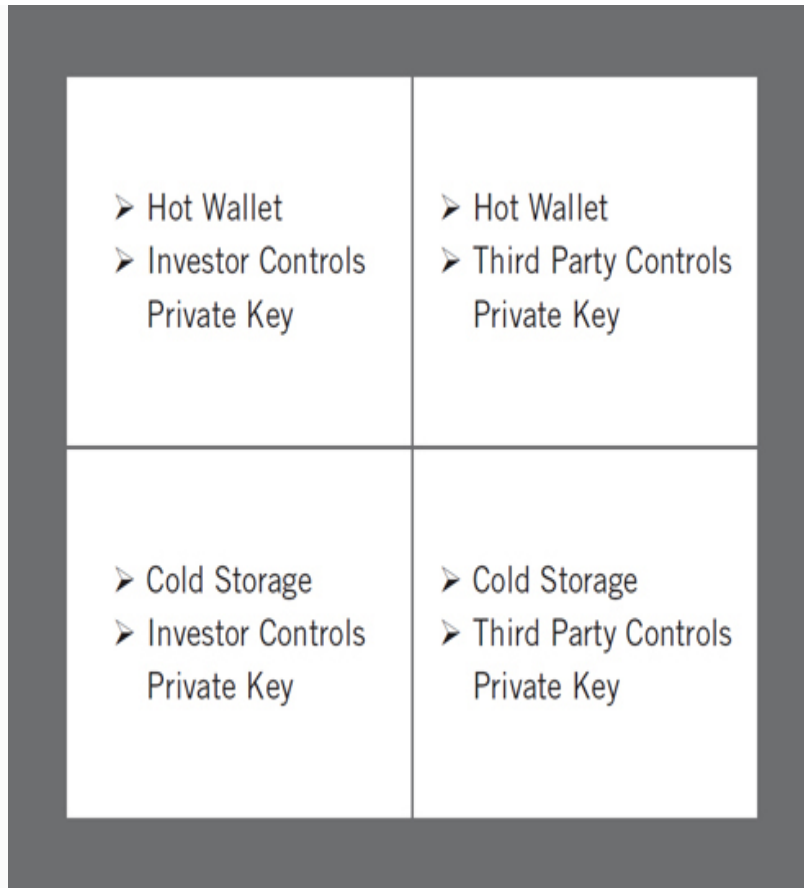


Figure 14.1 ■ The four quadrants of securing cryptoassets

If the innovative investor is reluctant to trust a third party, the other option is to take control of the private keys directly. While this comes with its own risks, like losing the private key, if the proper precautions are taken, it ensures autonomy and puts security directly in the owner's hands.

CUSTODY VIA EXCHANGES

By default, exchanges must store a customer's cryptoassets, most commonly done by handling the private keys. We'll repeat, many exchanges don't even have separate private keys